

Market Structure - Definition

- Market structure refers to the characteristics of a market that influence the behavior of firms and pricing strategies.
- It includes factors such as number of firms, type of products, entry barriers, and degree of competition.

Perfect Competition - Definition

- Perfect competition is a market structure where numerous small firms sell identical products, no single firm has market power, and both buyers and sellers have perfect information.

Perfect Competition –

Large number of buyers and sellers

- Markets have many buyers and sellers so no single participant can influence price.

Perfect Competition – Homogeneous products

- All firms sell identical products, making consumers indifferent between sellers.

Perfect Competition – Free entry and exit

- Firms can freely enter or leave the market, preventing long-term abnormal profits.

Perfect Competition – Perfect knowledge

- Buyers and sellers have full information about prices, quality, and availability.

Perfect Competition – Price taker behavior

- Firms accept the market price because they cannot influence it.

Monopoly - Definition

- A monopoly is a market structure where a single seller controls the entire supply of a product that has no close substitutes, giving the firm significant pricing power.

Monopoly – Single seller

- One firm controls the entire supply of a product or service.

Monopoly – No close substitutes

- Consumers cannot easily switch to alternative goods.

Monopoly – High entry barriers

- Legal, technological, or cost barriers prevent new firms from entering.

Monopoly – Price maker

- The monopolist can set price because it controls supply.

Monopoly – Downward sloping demand curve

- Monopoly faces the market demand curve and must reduce price to increase sales.

Price Discrimination – First Degree

- The seller charges each consumer their maximum willingness to pay, capturing all consumer surplus.

Price Discrimination – Second Degree

- Prices vary by quantity purchased, such as block pricing or bulk discounts.

Price Discrimination - Third Degree

- Different prices are charged to different groups based on elasticity, such as student or senior discounts.

Monopolistic Competition - Definition

- Monopolistic competition is a market structure where many firms sell differentiated products, allowing each firm some control over pricing despite the presence of competition.

Monopolistic Competition – Large number of firms

- Many firms compete but each has a small market share.

Monopolistic Competition – Product differentiation

- Firms offer varied products through branding, quality, or features.

Monopolistic Competition – Some control over price

- Because of differentiation, firms have partial pricing power.

Monopolistic Competition – Selling costs

- Advertising and marketing help persuade consumers and increase demand.

Monopolistic Competition – Free entry and exit

- In the long run, firms can enter or leave, eliminating abnormal profits.

Oligopoly - Definition

- An oligopoly is a market structure dominated by a small number of large firms whose decisions are interdependent, often leading to strategic behavior.

Oligopoly – Few large firms

- A small number of firms dominate the market and influence each other.

Oligopoly – Interdependence

- Each firm's actions affect competitors' pricing and output decisions.

Oligopoly – Barriers to entry

- High start-up costs or technological advantages limit new entrants.

Oligopoly – Non-price competition

- Firms prefer advertising and product improvements rather than price cuts.

Oligopoly – Possibility of collusion

- Firms may coordinate to set prices or output to maximize joint profits.